

services provided, primary health infrastructure in rural areas consists of a three-tier system. This includes Sub-Centres (SCs), Primary Health Centres (PHCs), and Community Health Centres (CHCs). A similar set up is maintained in urban areas.

Issues concerning the Healthcare sector in India include:

- A) Shortfall at different levels of the healthcare delivery system. As of 2018, there is a shortage of 2,188 CHCs, 6,430 PHCs and 32,900 SCs.
- B) Shortfall of doctors. As of 2018, there is a shortfall of 46 per cent of doctors, and 82 per cent of specialists including surgeons, obstetricians, gynaecologists, physicians, and paediatricians in Primary Health Centres across India. Certain reasons identified for the shortage of personnel in government facilities include: (i) poor working environment, (ii) poor remuneration making migration to foreign countries and to the private sector more attractive, and (iii) procedural delays in recruitment and poor forward planning for timely filling up of positions.
- C) Low public health spending in healthcare. The public health expenditure (sum of central and state spending) has remained between 1.2 per cent to 1.5 per cent GDP between 2008-09 and 2018-19, which is relatively low as compared to other countries. This has been resulting in high out of pocket healthcare expenditure. It is estimated that 65 per cent of the health expenditure is borne by consumers in India

Government Initiatives

Some of the major initiatives taken by the Government of India to promote Indian healthcare industry are as follows:

- Pradhan Mantri Swasthya Suraksha Yojana (PMSSY): a Central Sector Scheme, announced in August 2003 to address imbalances in availability of tertiary care hospitals and improve medical education in the country. It has two components— Setting up of new AIIMS, and up-gradation of existing State/Central Government Medical College/Institutions (GMC).
- Mission Indradhanush: launched in 2014 to strengthen and re-energise the programme and achieve full immunisation coverage for all children and pregnant women at a rapid pace.
- Ayushman Bharat Yojana: a national initiative launched as the part of National Health Policy 2017, in order to achieve the vision of Universal Health Coverage (UHC). The Ayushman Bharat comprises of two inter-related components, (i) Establishment of Health and Wellness Centres, and (ii) Pradhan Mantri Jan Arogya Yojana (PM-JAY)
- Pradhan Mantri Jan Arogya Yojana (PMJAY): Launched in September 2018 under the Ayushman Bharat programme, PMJAY aims to provide a cover of Rs. five lakh per family per year to 10.7 crore families (no cap on family size and age) belonging to poor and vulnerable population for secondary and Tertiary Healthcare.
- The National Medical Commission Act, 2019: A legislation passed by Parliament to provides for a medical education system which ensures: (i) availability of adequate and high quality medical professionals, (ii) adoption

of the latest medical research by medical professionals, (iii) periodic assessment of medical institutions, and (iv) an effective grievance redressal mechanism.

- The Government of India is planning to increase public health spending to 2.5 per cent of the country's GDP by 2025.

Looking Ahead

Healthcare has become an important cornerstone in India's development plan, with various initiatives including Ayushman Bharat- Health and Wellness Centers (HWCs) and Pradhan Mantri Jan Arogya Yojana (PM-JAY), Swachh Bharat, Digital India, Skill India, Start-up India, Make in India etc. In synergy, these initiatives will comprehensively address the healthcare challenges of India, such as reducing overall burden of diseases, lowering out-of pocket expenditure, augmenting healthcare infrastructure and promoting access to quality care. However, to provide assurance of healthcare for all, the government must recognise and address the rising concerns and sustainability of the private healthcare providers, which account for 70 per cent of bed capacity expansion over the past decade and cater to 60 per cent of inpatient care demands of the country. As healthcare services and coverage expand, successful implementation will require a parallel concerted push towards quality assurance, appropriate governance and regulation, improving referral pathways as well as leveraging appropriate technologies and innovations at all levels. This will be possible only with effective collaborations between all the stakeholders, including the private sector.

5.5 INFRASTRUCTURE: CHALLENGES AND WAY AHEAD

The Government of India has launched various critical infrastructure projects like Power for All, Smart Cities Mission, Swachh Bharat mission, and many more with an objective to build world class infrastructure in the country. However, as per Ministry of Statistics and Programme Implementation's (MoSPI) Flash report of January 2018, it is observed that around 20 per cent of the central sector projects are delayed beyond their scheduled date of completion. Managing these complex projects has always been a challenge, especially since these projects are long-term, involve multiple stakeholders, bring-in new technologies, and constrained resources. Most of the infrastructure projects are delayed primarily due to regulatory approvals, issues on land acquisition, shortage of skilled resources, ineffective dispute resolution mechanism, and geological challenges. Some of the major challenges faced in the infrastructure development in the country are:

Land Acquisition: Land acquisition has been the single largest roadblock for the development of infrastructure. Several projects have been stalled or delayed due to land acquisition issues. The causes behind delays in land acquisition includes resistance from farmers or local communities whose land is being acquired and lack of well-planned, efficient, and demonstrable rehabilitation packages for displaced persons.

Delay in regulatory and environmental clearance: There are various categories of approvals required across the project cycle at every stage, right from the pre-

tendering stage to post-construction causing delays in the process. Clearly, better governance will be a big help in mitigating long delays in infrastructure projects.

Funding Constraints: There is increasing reliance on the private sector for developing and maintaining infrastructure that need funds for projects that are often capital intensive and have a high gestation period. The private investment in infrastructure projects is typically in the form of debt raised by developers. India's long-term debt market is not deep enough. Equity markets are not favourable for financing projects either, because of uncertainties involved in execution and returns. These issues remain unresolved and continue to create problems in financing infrastructure projects.

Capacity of private players: Infrastructure projects in India are becoming larger in size and complexity, and such projects require financial patronage and additional project management skills, which most medium-to-small Indian companies currently lack.

Way ahead

Land acquisition: Earlier, the government had made cabinet approval mandatory for leasing, licensing, or transferring land. By relaxing transfer regulations for land it owns, the government has taken a positive that should resolve the delay of projects by procedural issues, and complement the guidelines to resolve land issues.

Fast-track policy and regulatory reforms for efficient implementation: Sponsoring agencies need to make a concerted effort to develop strong performance management systems to drive timely execution of projects including defining performance standards for nodal agencies and creating a transparent and accurate tracking mechanism as well as performance-linked incentives and penalties.

Dispute Resolution: To eliminate the issues of delays and litigations, a Performance Review Unit should be given powers to gather information from nodal agencies on clearances and incentivise or regulate this.

Facilitate Funding for Infrastructure Projects: In this direction, setting up of Infrastructure Debt Funds (IDFs) and reduction in 'withholding tax' on the interest paid on these bonds are some other positive measures that are expected to facilitate the flow of long-term debt into infrastructure projects. Furthermore, introducing PPP mode by allowing the private sector into some former fully government-owned infrastructure sectors, such as telecommunications and domestic civil aviation, has also produced exemplary results. A significant start has been made in involving the private sector in the provision of transport infrastructure.

Check Your Progress 2

- 1) Discuss the recent policy initiatives undertaken by Government of India towards transport infrastructure development in India.

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